

Supply-side policy lesson 1 - 4.4.1

Supply-side policy

供给侧政策

How can policy raise what an economy is able to produce?



An industrial robot used in an automated riveting process

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Michael KR

More demand or more capacity? If firms already have full order books but cannot find skilled workers, should policy mainly increase spending or capacity?

如果企业订单很多，却找不到熟练工人，
政策应主要增加支出还是增加生产能力？

Apprentices training in a Volkswagen workshop in Wolfsburg, Germany

Bundesarchiv, B 145 Bild-F060162-0011 / Engelbert Reineke / CC-BY-SA 3.0

More demand or more capacity?

If firms already have full order books but cannot find skilled workers, should policy mainly increase spending or capacity?

如果企业订单很多，却找不到熟练工人，政策应主要增加支出还是增加生产能力？

Possible answer

Capacity. More spending may raise prices, but skills, infrastructure and investment can help firms produce more.

应增加生产能力。更多支出可能推高价格，而技能、基础设施和投资能帮助企业增加产量。

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By the end, you can

1

Define supply-side policy.

定义供给侧政策。

2

Explain productive capacity and efficiency.

解释生产能力和效率。

3

Classify supply-side policies as interventionist or market-based.

判断供给侧政策是干预型还是市场化。

Supply-side policy

供给侧政策

1 Supply-side policy

2 Capacity, efficiency and output

3 Exam distinction



KEY TERM

Supply-side policy

供给侧政策

DEFINITION

Policy measures designed to increase

 ,  , 
or  of factors of production.

旨在提高生产能力、总供给、效率或生产要素流动性的政策措施。

productive capacity

生产能力

maximum output potential

total supply

总供给

economy-wide supply

efficiency

效率

better use of resources

mobility

流动性

factors can move usefully

KEY TERM

Supply-side policy

供给侧政策

DEFINITION

Policy measures designed to increase **productive capacity**, **total supply**, **efficiency** or **mobility** of factors of production.

旨在提高生产能力、总供给、效率或生产要素流动性的政策措施。

productive capacity**生产能力**

maximum output potential

total supply**总供给**

economy-wide supply

efficiency**效率**

better use of resources

mobility**流动性**

factors can move usefully

Demand-side vs supply-side

Demand-side policy

changes aggregate



often has a shorter-term



examples: fiscal and monetary



Supply-side policy

raises total



often works over the long



examples: education, infrastructure, tax



Demand-side vs supply-side

Demand-side policy

changes aggregate **demand**

often has a shorter-term **impact**

examples: fiscal and monetary **stimulus**

Supply-side policy

raises total **supply**

often works over the long **run**

examples: education, infrastructure, tax
incentives

Two types of supply-side policy

Interventionist

government spending or direct



education, training, healthcare and



subsidies to encourage



Market-based

change incentives through



tax cuts, privatisation and



labour-market



Two types of supply-side policy

Interventionist

government spending or direct **support**

education, training, healthcare and **infrastructure**

subsidies to encourage **production**

Market-based

change incentives through **markets**

tax cuts, privatisation and **deregulation**

labour-market **reforms**

Long-run output

Syllabus terms: productive capacity, efficiency and long-run output.



An industrial robot used in an automated riveting process

Wikimedia Commons /
Michael KR

Check

Which answer best describes the aim of supply-side policy?

- A** To increase productive capacity and total supply.
- B** To reduce all production in the economy.
- C** To use only interest rates to reduce spending.
- D** To make imports illegal.

Check

Which answer best describes the aim of supply-side policy?

A To increase productive capacity and total supply.

B To reduce all production in the economy.

C To use only interest rates to reduce spending.

D To make imports illegal.

Supply-side policy focuses on the economy's ability to produce.

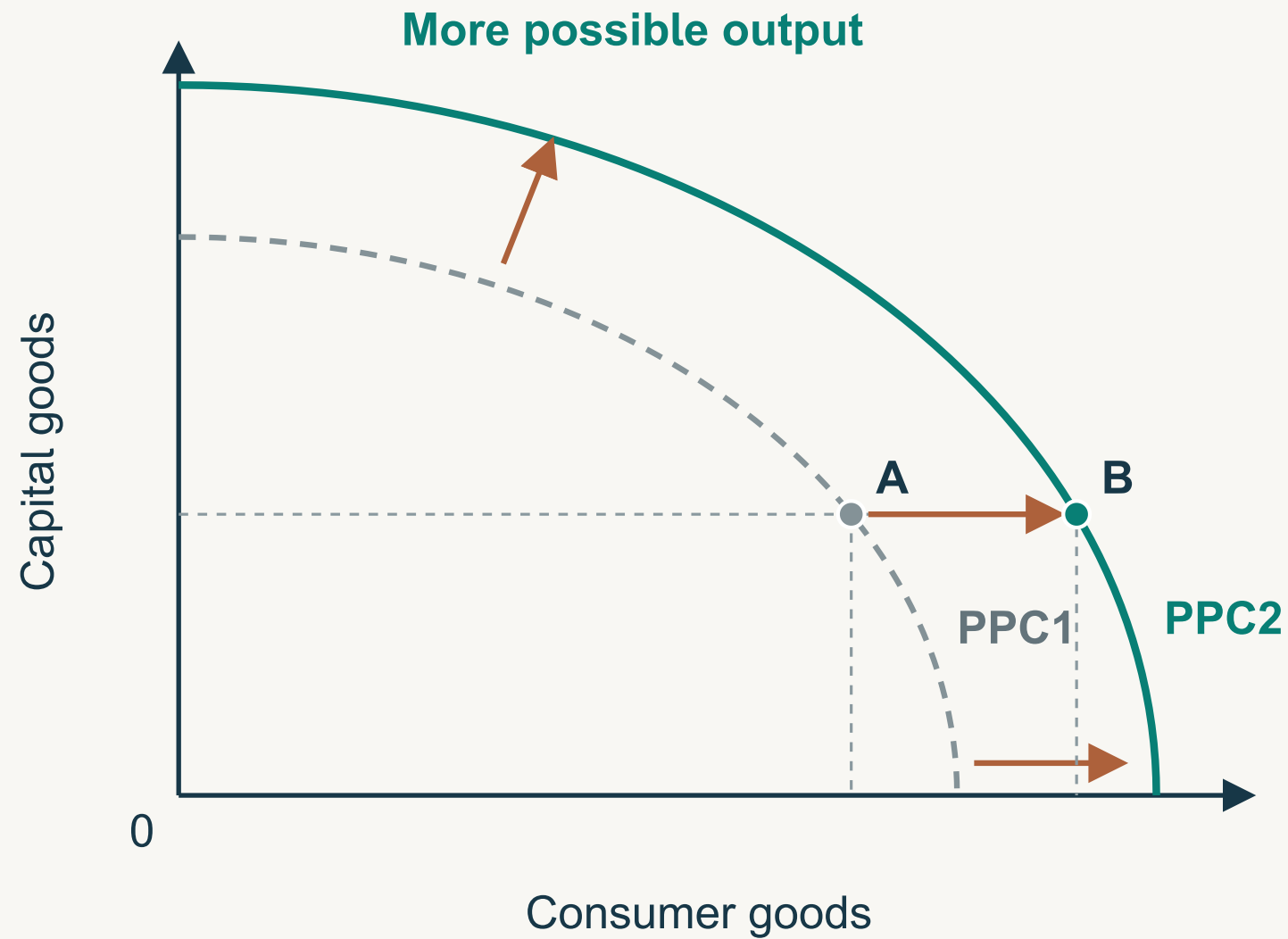
Capacity, efficiency and output

能力、效率与产出

1 Supply-side policy

2 Capacity, efficiency
and output

3 Exam distinction



From policy to PPC shift

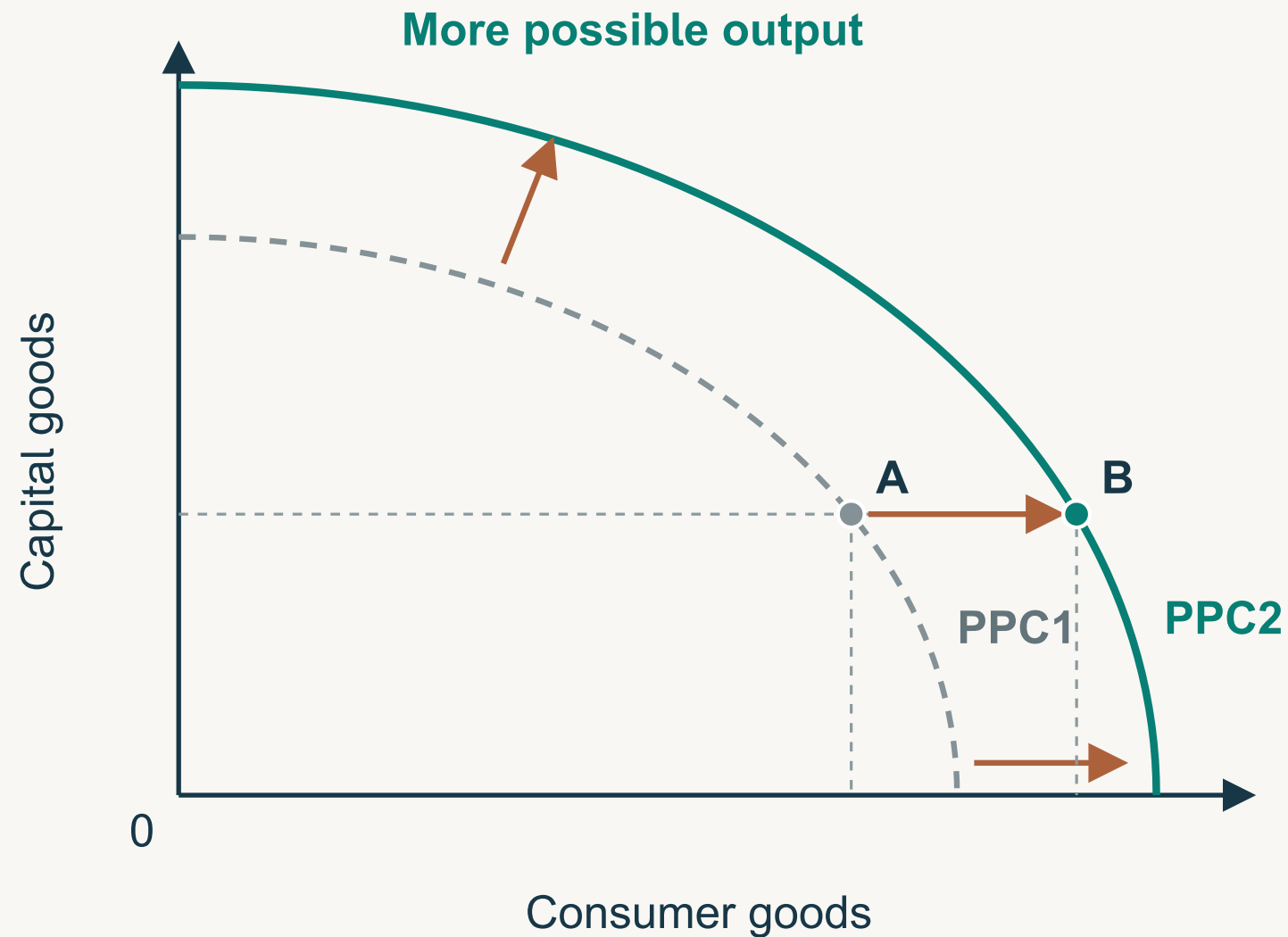
STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.



Past paper right-shift causes

STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.

Fill in the blanks

- 1 Supply-side policy aims to increase productive .
- 2 Higher productivity means more output per worker or per .
- 3 A rightward PPC shift shows higher productive .
- 4 Supply-side policy usually affects the economy in the long .

Fill in the blanks

- 1 Supply-side policy aims to increase productive **capacity** .
- 2 Higher productivity means more output per worker or per **input** .
- 3 A rightward PPC shift shows higher productive **capacity** .
- 4 Supply-side policy usually affects the economy in the long **run** .

Exam distinction

考试区分

1 Supply-side policy

2 Capacity, efficiency and output

3 Exam distinction

Explain one difference between monetary policy and supply-side policy. [4]

PLAN YOUR ANSWER

- | | | | |
|--------------------------|------------------------|------------------------------|--------------------------|
| 1
central bank | 2
government | 3
aggregate demand | 4
total supply |
|--------------------------|------------------------|------------------------------|--------------------------|

Use the contrast from 2025ON-22 Q5(b): who implements it and whether it targets demand or supply.

Explain one difference between monetary policy and supply-side policy. [4]

MODEL ANSWER

Monetary policy is usually carried out by a **central bank** and uses measures such as interest rates to influence **aggregate demand**. Supply-side policy is usually carried out by the **government** and aims to increase **total supply** or productive capacity, for example through education, training or infrastructure.

Exit ticket

离堂小测

- 1 Monetary policy mainly influences total .
- 2 Supply-side policy aims to increase total .
- 3 Supply-side effects often take  than demand-side effects.
- 4 Supply-side policies can be interventionist or market- .

Answer before leaving.

Exit ticket

离堂小测

- 1 Monetary policy mainly influences total **demand** .
- 2 Supply-side policy aims to increase total **supply** .
- 3 Supply-side effects often take **longer** than demand-side effects.
- 4 Supply-side policies can be interventionist or market-**based** .

Answer before leaving.